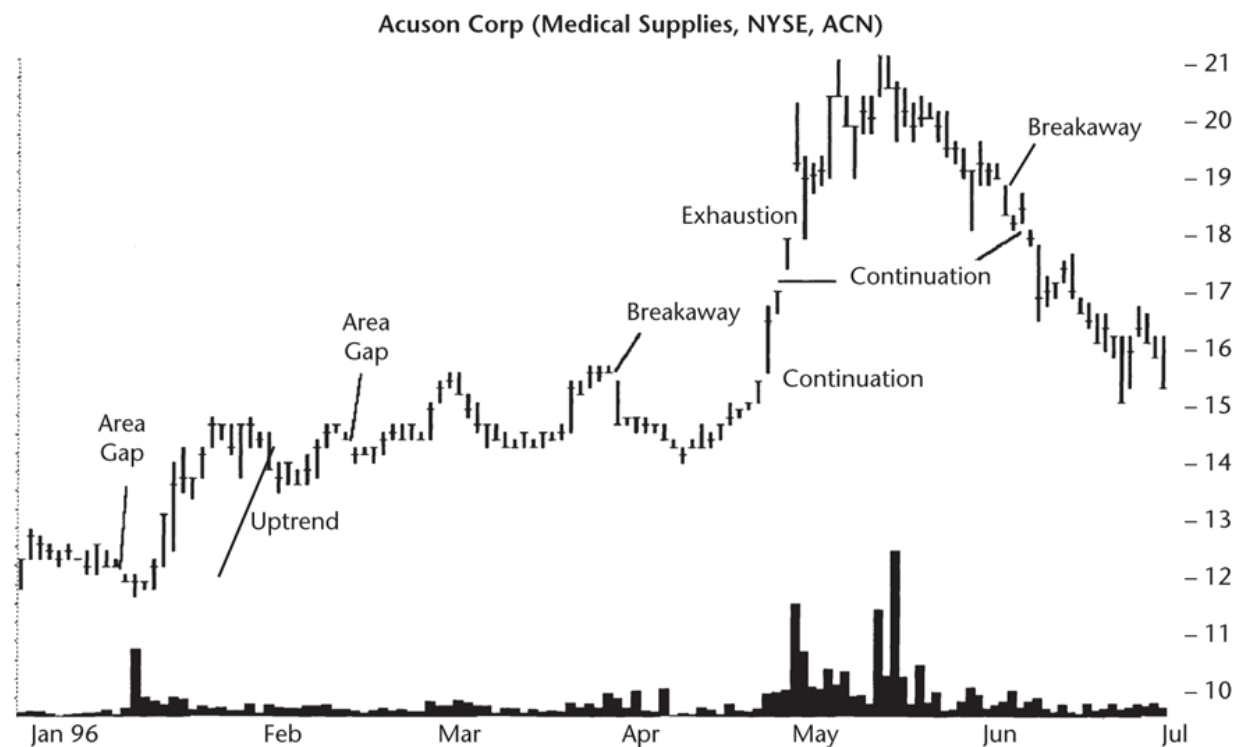


either positive or negative, can cause a gap and the stock to rise by 10% or 15% or to decline by 30% or more, depending on the severity of the news.

[Figure 36.1](#) shows a plethora of different gap types. Area gaps occur in congestion zones, often when price is moving sideways. Price gaps up or down, and the gap closes quickly. Of all the gap types, area gaps are common, like potholes on a dirt road.

Breakaway gaps appear at the start of trends. They, too, are quite numerous, and high volume accompanies them. Usually there is some fundamental event driving the stock, creating a breakaway gap.

Continuation gaps are relatively rare because they appear in the middle of strong trends. Those trends themselves do not occur very often and even less often do they contain a gap.



[Figure 36.1](#) Plenty of gaps appear in a daily price chart. The most numerous are the area gaps.

Exhaustion gaps signal the end of trends. They are the last jump up or down before the trend either reverses or moves sideways. After an exhaustion gap, price can suffer a violent reversal. So if you don't exit a trade quickly, you may find profit dwindling.